



THE STOCK MARKET IS IN A TAILSPIN, BANKS ARE GRIPPED BY A CREDIT SHOCK AND COMPANIES ARE ISSUING PINK SLIPS. THE GOVERNMENT MUST ACT TO RESTORE THE VIRTUOUS CYCLE OF INVESTMENT-LED GROWTH, OR DESTRUCTION WILL RUN ITS COURSE.

■ By Shankkar Aiyar

The macabre dance of debt, delinquency and destruction may well be staged on Wall Street but the virtual meltdown of financial markets has triggered a crisis of confidence across India. The India Story that was authored by a combination of foreign capital and private enterprise is now hit by the exit of the very dollar that fuelled growth through private consumption. But as Diwali nears, it is not festivity but a calm desolation that finds resonance in India's main street markets. Delhi's Connaught Place is shorn of shoppers. In Mumbai, Bangalore and Chennai, anxiety is writ large on employees of financial outfits and software giants. The erosion of wealth, threat to savings and vulnerability of incomes have driven consuming classes into caverns of anxiety. On Dalal Street, brokers and punters alike are haunted by the images of bankruptcy. Investors are stalking banks and mutual funds with calls to assure themselves that their lifetime earnings are safe. At one end of the spectrum, ICICI Bank Managing Director K.V. Kamath, despite many assurances and hard facts, has been plagued with speculation about a run on the bank. At the other end, corporates and individuals have rushed to withdraw Rs 30,000 crore—or 30 per cent—of the money managed by liquid funds and fixed maturity plans (FMPs), thanks to worries about the value of underlying assets. Across India, rumour is the new currency

India Inc

Tough going. Poor sentiment and a crisis of confidence will drive sales and profits down. Globalisation is on hold and survival the mantra.

GDP

Slowdown in industrial output, slide in exports, evaporation of foreign capital and expensive credit may drive growth down to 7 per cent.